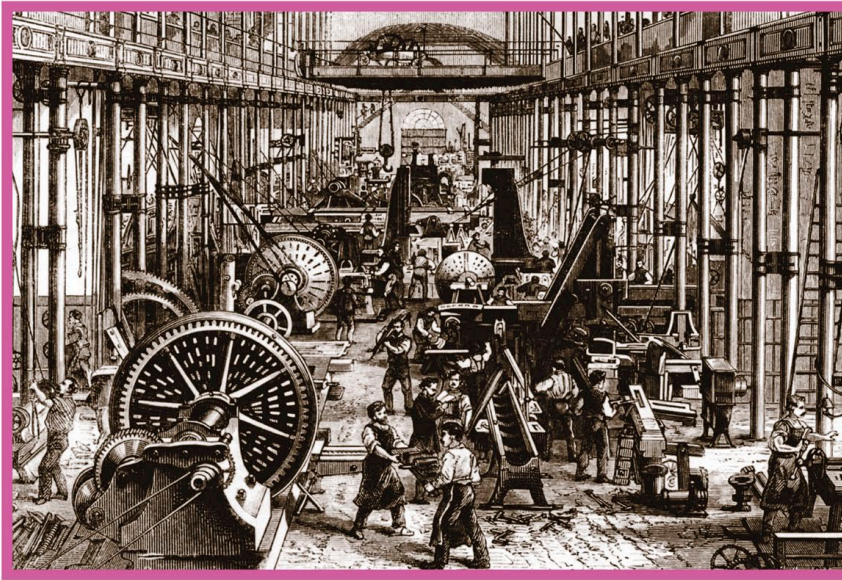


See also: The Trade Union Act 156–159 ■ The Triangle Shirtwaist Factory fire 180–183 ■ *Donoghue v. Stevenson* 194–195 ■ The Whistleblower Protection Act 274



The Götze & Hartmann engineering factory in Saxony, eastern Germany, employed at least 2,700 workers by 1870. Highly industrialized, Saxony was a hotbed of German socialism.

of workers to pay each week into a fund that paid out if they became sick, disabled, or died. The funds were based on local communities or specific workplaces—those who lived or worked in an area that had no mutual society were not covered. Anyone injured at work who was not a member of a mutual society could sue an employer for compensation, but only if the victim was wealthy enough to afford a lawyer. Proving liability against a large company was almost impossible. As a result, many people injured at work who could no longer support their family resorted to begging or were forced into a public institution, such as a workhouse or even a prison.

When the German Empire was formed in 1871, its heavy industries, such as engineering and

steelmaking, rapidly expanded. The rights of workers became a pressing social issue as business owners grew increasingly rich, while their employees worked long hours in often dangerous conditions. Growing unrest among German industrial laborers proved fertile ground for the champions of socialist ideals, such as equal rewards and state protection for workers in industry.

Bismarck leads the way

In 1875, German socialists formed the Socialist Workers' Party (SAP, which, 15 years later, became the Social Democratic Party, SPD). Some members of the party supported Karl Marx's aim of achieving socialism through revolution. The highly conservative chancellor of Germany, Otto von Bismarck, saw this as a threat to his power, and in 1878, he passed the Anti-Socialist Law, which banned any meeting that aimed to spread social democratic views and suppressed socialist »



Otto von Bismarck

Born in 1815, near Berlin, Otto von Bismarck became prime minister of Prussia in 1862, and gained a reputation as an authoritarian leader. He deftly exploited regional rivalries, annexing territory in Denmark and Germany and provoking war with France to engineer the 1871 unification of 26 small states and duchies into the German Empire, with Prussia at its core. The ruler of the new empire, Wilhelm I, rewarded Bismarck by making him Germany's first chancellor. He became known as the "Iron Chancellor."

Bismarck worked to create a stable Germany with a strong national identity. He achieved this partly by campaigning against the rise of socialism and also the influence of the Catholic Church. To consolidate the position of Germany against the growing threat of Russia and France, Bismarck negotiated an alliance with Austria-Hungary in 1879.

Despite Bismarck's many efforts to discredit the Social Democrats in Germany, the party won a large number of seats in the 1890 election, and he resigned in disgust. He died at his country estate in 1898.